Analytical Synopsis

Portfolio Analysis Report: AAPL & WMT

Objective: The goal of this analysis was to evaluate the risk-return profile of a two-asset portfolio consisting of Apple (Technology) and Walmart (Consumer Staples) using weekly historical data from 2024.

Key Findings:

- **Asset Performance:** Walmart showed a higher average weekly return (1.13%) compared to Apple (0.72%). However, Apple exhibited higher volatility (3.01%), reflecting the typical risk profile of the tech sector.
- **Diversification:** The calculated correlation coefficient is **0.24**. This low positive correlation indicates strong diversification benefits, as the two assets do not move in perfect synchronization.
- **Investment Decision:** By constructing a 50/50 portfolio, the overall risk (Standard Deviation) was reduced relative to the standalone risk of Apple. This demonstrates the "Efficient Frontier" principle where diversification optimizes the risk-adjusted return.